

the most preventable of injuries. Setting up of an emergency fund and buying insurance covers are ways to protect our money box from unavoidable events as you journey through life, and to reduce the damage to your finances they bring.

But the financial seat belt does another thing – it reduces the need to keep most of your money ready at hand. Keeping money ready to use for an emergency is one of the key reasons that people don't invest for the long term. But not just emergencies, we shy away from long-term investing for one more reason: What if I don't have the money to make the annual investment commitment? What if I change my mind? What if I find a better investment? What if this investment does not perform? What if they run away with my money – how can I trust some private company with my money? Worry two is about not having the money to invest or changing your mind about your long-term investment.

I hate making mistakes

Have you heard the guy on the next sofa boasting about his stock market kill at a party? 'Bhaisaab, I told you to invest in that penny stock. I made a killing.' The group sips in a reverent silence. But ask him the question – 'What is your portfolio return?' – and you see the wind drop from the sails instantly. 'Who looks at portfolio return, *medum*? I look at my winning only, *heh heh*.'

The hits and misses tend to cancel out over the years when you 'punt' on a stock or on real estate. A lot of people do manage to invest, but find themselves in inefficient, high-cost, low-return products. A big reason why people stay in fixed deposits, gold, insurance and real estate is the fear of making errors.

We've grown up with FDs, land, insurance plans and gold as the holy grail of investment. Moving away from these into other financial products, such as mutual funds, means getting out of our comfort zone – and that is always scary. But remember this – it is better to have something in investments, even if it earns less, than not to have anything at all. ***The purpose of this book is to migrate you from low-return, clunky products into financial products that look after the needs of a very different Indian citizen than of the 1970s angry young man.***

I'm a money dummy